

LAW AND MOTION TENTATIVE RULINGS

DATE: JUNE 23, 2026 TIME: 8:30 A.M.

IV. DISCUSSION

The Court finds the above facts are sufficient to satisfy the elements of plaintiff's claims. The burden therefore shifts to the defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. Defendant has failed to meet this burden as he has not filed an opposition and raised any triable issue of disputed fact. Plaintiff is therefore entitled to judgment against defendant in the amount of \$15,227.97.

Plaintiff's request for judicial notice of the federal consumer credit protection statutes 15 USCS § 1666 and 12 CFR § 202.12 is granted.

No. 25CV03943

DEPENAU v. BARNES

DEFENDANT BARNES' MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS

The motion to compel arbitration is denied.

I. BACKGROUND AND MOTION

Plaintiff Paul Depenau, through his guardian ad litem and sister Judy Depenau, asserts he was the victim of a fraudulent loan transaction. He is 68 years old with alleged dementia and reduced or diminished cognitive capacity. He owns a home in Boulder Creek. In August 2024 defendants Milestone Financial, LLC dba MERS Link 4 (lender) and Levy Barnes and Mortgage Dynamics (broker) arranged a \$115,000.00 business purpose loan secured by Depenau's residence. Depenau asserts that he was not involved in the loan transaction but that his stepdaughter, Angela Newton, "acting without authority and for her own benefit, used Paul's [Depenau's] home and signature to obtain funds she kept for herself. Paul had no business, no knowledge of the loan, and no capacity to consent." (Compl. at ¶ 3.) The complaint alleges causes of action for financial elder abuse, breach of fiduciary duty, and declaratory relief related to the loan.

Self-represented defendant Barnes brings this motion to compel arbitration. Barnes asserts that he is the president and CEO of Dynamic Real Estate Services dba Mortgage Dynamics. He contends the loan at issue was intended for commercial business purposes. The loan documents contain an arbitration provision that requires disputes arising out of the loan to be resolved through binding arbitration. (Decl. of Barnes at ¶¶ 2-5.) He attaches a copy of the Promissory Note ("Note") which includes the arbitration provision as well as an

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Acknowledgement of Arbitration Agreement. (Decl. of Barnes, ex. A, B.) Barnes maintains that plaintiff executed these agreements. (Decl. of Barnes at ¶¶ 6,7.) Barnes asserts that he is bringing the motion to compel arbitration on his behalf individually and, ostensibly on behalf of the defendant business entity that he is the president and CEO of: Dynamic Real Estate Services dba Mortgage Dynamics. William Stuart, also filed a declaration in support of the motion to compel arbitration and stay proceedings.

In opposition, plaintiff argues the Court should deny the motion. First, plaintiff contends that the motion is procedurally defective because Barnes is self-represented and cannot represent Dynamic Real Estate, Mortgage Dynamics or Milestone Financial, LLC. Plaintiff asserts that the loan was for business purposes but that this characterization was created by the broker, not plaintiff and federal law prohibits mandatory arbitration in residential mortgage loans. Plaintiff asserts there was no meaningful assent to arbitrate as he was given scripted answers during a “business-purpose video” to confirm his agreement to the loan, and he did not understand what he was saying. Plaintiff contends the loan documents are structured to evade consumer protections and are void as against law and public policy. Milestone is a party to the agreement, but Barnes is not and Milestone waived its right to arbitrate by propounding discovery, demanding deposition dates and serving as 23-page meet and confer letter demanding further discovery.

II. LEGAL STANDARDS

Code of Civil Procedure section 1281.2, states, in part, “[o]n petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

- (a) The right to compel arbitration has been waived by the petitioner; or
- (b) Grounds exist for rescission of the agreement.
- (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. For purposes of this section, a pending court action or special proceeding includes an action or proceeding initiated by the party refusing to arbitrate after the petition to compel arbitration has been filed, but on or before the date of the hearing on the petition. This subdivision shall not be applicable to an agreement to arbitrate disputes as to the professional negligence of a health care provider made pursuant to Section 1295.”

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In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534, 541.) “The general background begins with the tenet that the law favors enforcement of arbitration agreements. [Citation.]” (*Ashburn v. AIG Financial Advisors, Inc.* (2015) 234 Cal.App.4th 79, 95.)

III. DISCUSSION

As pointed out by plaintiff, Barnes appears to have filed this motion on behalf of both himself and Dynamic Real Estate Services dba Mortgage Dynamics, of which he is the CEO. Barnes is named in this complaint in his individual capacity. (Compl. at ¶ 6.) The corporate entity of Dynamic Real Estate Services dba Mortgage Dynamics is without counsel. Barnes cannot represent the corporate entity.

“[U]nder a long-standing common law rule of procedure, a corporation, unlike a natural person, cannot represent itself before courts of record in propria persona, nor can it represent itself through a corporate officer, director or other employee who is not an attorney. It must be represented by licensed counsel in proceedings before courts of record” (*CLD Construction, Inc. v. City of San Ramon* (2004) 120 Cal.App.4th 1141, 1145.) A business entity may not appear except through counsel. (*Id*; See, *Caressa Camille, Inc. v. Alcoholic Beverage Control Appeals Bd.* (2002) 99 Cal.App.4th 1094, 1101-1103.) Because Barnes is not an attorney, he cannot represent another party or entity. On that basis, the motion to compel arbitration is denied as to the corporate entities.

As for Barnes’ individual motion to compel arbitration, the Court does not find sufficient evidence of the existence of arbitration agreement between himself and Depenau. Under both the Federal Arbitration Act and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (*Winter v. Window Fashions Professions, Inc.* (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc. § 1281.2.)

“The party seeking to compel arbitration has the burden of proving the existence of an enforceable arbitration agreement by a preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance any fact necessary to its defense.” (*Baker v. Italian Maple Holdings, LLC* (2017) 13 Cal.App.5th 1152, 1157.) Generally, it is sufficient for petitioner to present a copy of the contract. (*Condee v. Longwood Mgt. Corp.* (2001) 88 Cal.App.4th 215, 218; Cal. Rules of Court, Rule 3.1330.) Once a document is

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presented to the court, the burden shifts to the party opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges. (*Baker v. Italian Maple Holdings, LLC* (2017) 13 Cal.App.5th 1152, 1160.)

“The party seeking to compel arbitration need only allege in the petition or motion: (1) the existence of a written agreement to arbitrate a controversy and (2) that a party thereto refuses to arbitrate such controversy [Code Civ. Proc. § 1281.2]. The statute does not include a requirement that the petitioning party have made a demand for arbitration, only that the other party has refused to arbitrate. Arbitration can be refused without a formal demand ever having been made [*Hyundai Amco Am., Inc. v. S3H, Inc.* (2014) 232 Cal.App 4th 572, 577.]. A party’s filing of a lawsuit rather than commencing arbitration proceedings as required by the agreement affirmatively establishes the party’s refusal to arbitrate the controversy [*Hyundai Amco Am., Inc. v. S3H, Inc.* (2014) 232 Cal. App. 4th 572, 578 (reversing order denying motion to compel)].” (4 California Forms of Pleading and Practice--Annotated § 32.40.)

There is a strong public policy in favor of arbitration agreements. (*Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1, 9.) “California law incorporates many of the basic policy objectives contained in the Federal Arbitration Act, including a presumption in favor of arbitrability and a requirement that an arbitration agreement must be enforced on the basis of state law standards that apply to contracts in general.” (*Engalla v. Permanente Medical Group, Inc.*, supra, 15 Cal.4th 951, 971-972.) Given the policy favoring arbitration, “doubts concerning the scope of arbitrable issues are to be resolved in favor of arbitration.” (*Ericksen, Arbuthnot, McCarthy, Kearney & Walsh, Inc. v. 100 Oak Street* (1983) 35 Cal.3d 312, 323; see also *Moses H. Cone Mem’l Hosp. v. Mercury Constr. Corp.* (1983) 460 U.S. 1, 24-25.) “‘Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute. [Citation.]’” (*Valsan Partners Ltd. Partnership v. Calcor Facility, Inc.* (1994) 25 Cal.App.4th 809, 817.)

In this case, Barnes attaches a copy of the Note in the amount of \$115,000.00, executed August 8, 2024, between Paul Depenau (borrower) and MERS Link 4 (lender). Section 29 of the note contains a section titled “Consent to Binding Arbitration Under the Federal Arbitration Act (“FAA”) and Delegation of Arbitrability Decision.” Subsection A states that “[s]ubject to the exclusions below, **ANY AND ALL** disputes, claims, controversies, or proceedings arising out of or relating to the Note, Deed of Trust, the Loan, the Loan Documents, the Property, any foreclosure, any contract or any other matter between and among the Parties (and **Associated Lender Individuals and Entities**, as defined in subparagraph F, below) or the breach, termination, enforcement, interpretation or validity thereof ... shall be determined by arbitration” Subsection F defines “Associated Lender Individuals and Entities” as William Stuart,

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Carolyn Stuart, Zoe Hamilton, Bear Bruin Ventures Inc., or any other individual, entity, officer, entity, officer, equity owners, manager, member, managing members, director or employee employed by, contracted with, or associated with the lender. The Note is signed by William Stuart, and the document specifically states that third parties who agree to be bound by the arbitration provisions are William Stuart, Carolyn Stuart, and Zoe Hamilton. Barnes is not named in the Note and did not sign the acknowledgment of the agreement to arbitrate. Therefore, the Court does not find an agreement to arbitrate between Barnes and Depenau.

Finally, the allegations that form the primary basis of the complaint – that Barnes lacked the mental capacity to enter a contract for the loan which included the agreement to arbitrate – adds a further layer of doubt to the validity of the agreement to arbitrate at this time. There are two declarations filed in connection with the opposition to motion to compel arbitration. The declaration from Angela Newton states that she lived with plaintiff and helped care for him as he had a stroke in 2020. She asserts he had severe cognitive and physical problems and difficulty understanding what was happening. He could not live on his own and did not understand financial matters. Because of an unpaid tax situation, Newton contacted Barnes to facilitate a loan. Barnes told her that a loan could be obtained for business purposes using plaintiff's property. (Decl. of Newton at ¶¶ 4-12.) She was told to register a business name and open a bank account, which she did. However, Newton maintains that there was no real business and "the broker knew that." (Decl. of Newton at ¶ 14.) Newton emphasizes that plaintiff did not understand any of what was being done. As for the video required by the notary where plaintiff answers questions about the loan, the business, and its terms, she states that she had to write scripted answers in large letters for plaintiff to read off camera. (Decl. of Newton at ¶¶ 25-30.)

Plaintiff also filed a declaration from his appointed guardian ad litem (and sister) who states that in 2020 plaintiff suffered a stroke, was disabled, partially paralyzed and had lost much of vision. Newton provided him with care and took control of his Social Security income. Plaintiff did not operate a business from the property and does not remember taking out a loan. (Decl. of Depenau at ¶¶ 5-9, 37.) According to Depenau, the Sheriff's office conducted welfare checks at her request, and Adult and Child Protective Services visited the home as it fell into disrepair. She states that a physician from Dominican Hospital told her that plaintiff had dementia. Plaintiff currently resides at a nursing home. Depenau states that Newton left the premises in July of 2025, taking proceeds from selling plaintiff's things and other remaining funds. (Decl. of Depenau at ¶ 35.) Given that the issue of plaintiff's capacity to contract has yet to be determined, the Court cannot find, at this time, that he knowingly agreed to arbitrate.

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No. 26CV00720

JAMES v. RIVIAN AUTOMOTIVE, INC.

**DEFENDANT RIVIAN AUTOMOTIVE, LLC'S MOTION TO COMPEL
ARBITRATION AND STAY PROCEEDINGS**

The motion is granted.

I. BACKGROUND AND MOTION

Plaintiff Whitney James ("plaintiff") alleges three violations of the Song-Beverly Act related to his purchase of a 2025 Rivian R1T: (1) breach of express warranty, (2) breach of implied warranty, and (3) violation of Civil Code section 1793.2, subdivision (b). Defendant Rivian Automotive, LLC, is identified as the manufacturer/distributor of the vehicle. Plaintiff asserts that the vehicle suffers from non-conformities, including electrical, exterior and body component defects, braking system, and suspension defects.

On April 6, 2026, defendant Rivian Automotive, LLC ("Rivian" or "defendant") filed this motion to compel arbitration pursuant to the Rivian Motor Vehicle Purchase Agreement ("Purchase Agreement") with a binding arbitration clause, as well as pursuant to the Warranty Agreement, which also includes an arbitration clause. Rivian asserts this action belongs in arbitration because the parties explicitly agreed to arbitrate these types of claims. Rivian argues that, in the alternative, it may invoke the agreement to arbitrate pursuant to the doctrine of equitable estoppel because the Purchase Agreement incorporates by reference the warranties provided to plaintiff. Rivian also maintains that the Purchase Agreement gives the arbitrator exclusive authority to determine threshold questions, including arbitrability.

In opposition, plaintiff argues that the arbitration clauses do not apply because the Purchase Agreement with the arbitration clause is between plaintiff and non-party Rivian, LLC, not defendant Rivian and that the theories of equitable estoppel and third-party beneficiary cannot be used. Plaintiff states that he has "no claim against the selling dealership, Rivian, LLC. Here all Plaintiff's statutory claims are exclusively against Defendant and arise from Defendant's written warranty *not* the sales agreement with non-party, Rivian, LLC." (Opp. at p. 9.) Defendant cannot enforce the arbitration clause in the 2025 Warranty Agreement, contends plaintiff, because warranties do not impose binding obligations on the buyer.

In reply, defendant asserts that plaintiff's argument fails because Rivian Automotive, LLC, the named defendant in this action, is expressly named as a third-party beneficiary in the Purchase Agreement that can enforce the arbitration clause. Further, plaintiff is participating in an arbitration initiated by Rivian, LLC, the defendant's parent company, and is signatory to the